Controlling (CO)

Curriculum: Introduction to S/4HANA using Global Bike



SAP University Alliances

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Teaching material - Information

Teaching material - Version

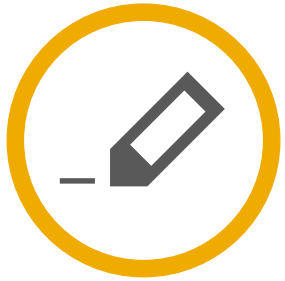
- 4.3 (July 2025)

- Software used
  - S/4HANA 2023
  - Fiori 3.0
- Model
  - Global Bike

- Prerequisites
  - No Prerequisites needed

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Module Information



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- Michael Boldau
- Babett Ruß



Target Audience

- Beginner

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Module Information



Learning Objectives

You are able to

- define the central organizational structures of the CO module.
- summarize the master data which is most important for the CO module.
- explain standard controlling processes.

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Agenda

- CO Organizational Structure
- CO Master Data
- CO Processes

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Goal of Controlling (CO)

- Managerial Accounting – also termed Controlling – is designed to collect transactional data that provides a foundation for preparing internal reports that support decision-making within the enterprise.

- These reports are exclusively for use within the enterprise and include:
  - Cost center performance
  - Profit center performance
  - Budgets analyses

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Target Audience

- Executives
- Senior Management
- Department Managers
- Controllers
- Cost Accountants

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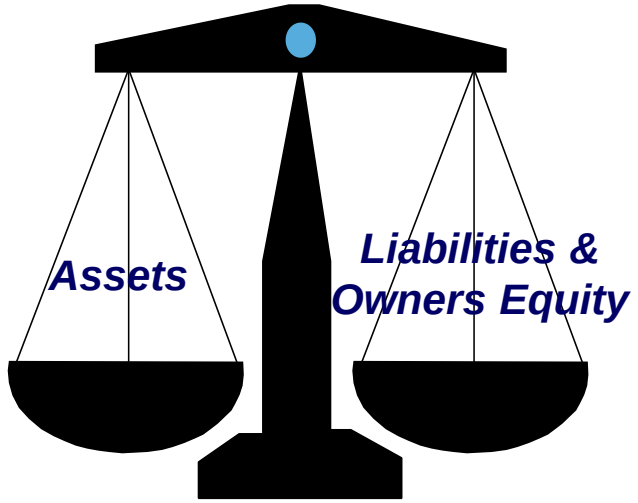
CO Organizational Structure

- Represents the legal and/or organizational views of an enterprise
- Forms a framework that supports the activities of a business in the manner desired by management
- Permits the accurate and organized collection of business information
- Supports the development and presentation of relevant information in order to enable and support business decisions

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CO Organizational Structure

- Client
  - Largest organizational unit in an SAP system from a business perspective
- Company Code
  - Represents an independent legal accounting unit
  - Balanced set of books, as required by law, are prepared at this level.
  - A client may have more than one company code
    - United States
    - Germany
    - United Kingdom
    - Australia
    - …



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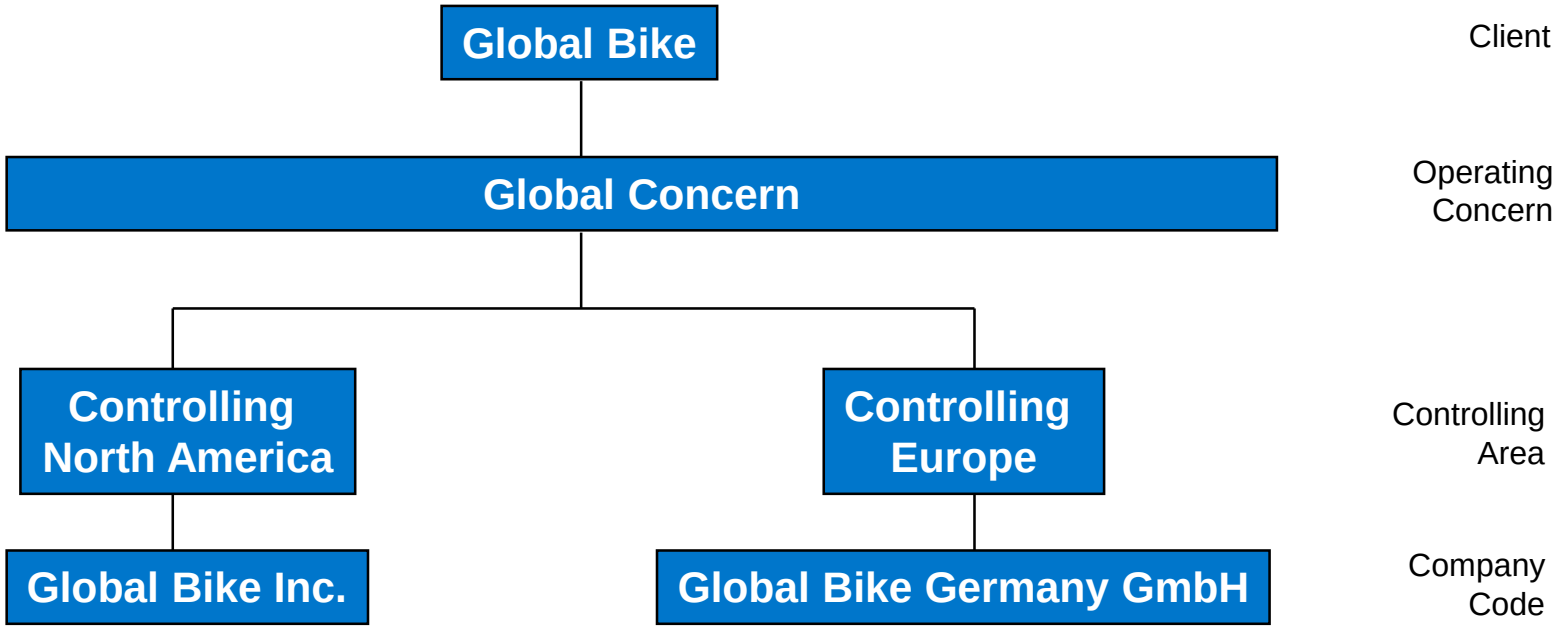
CO Organizational Structure

- Controlling Area
  - A self-contained, organizational unit for which the management of revenues and expenses can be performed
  - May include one or more company codes; therefore, an enterprise can perform management accounting analyses and reports across several companies
  - A way to identify and track where revenues and costs are incurred for evaluation purposes

- Operating Concern
  - Represents a part of an organization for which the sales market is structured in a uniform manner
  - A operating profit for the individual market segments can be calculated.
  - Multiple controlling areas can be assigned to one operating concern.

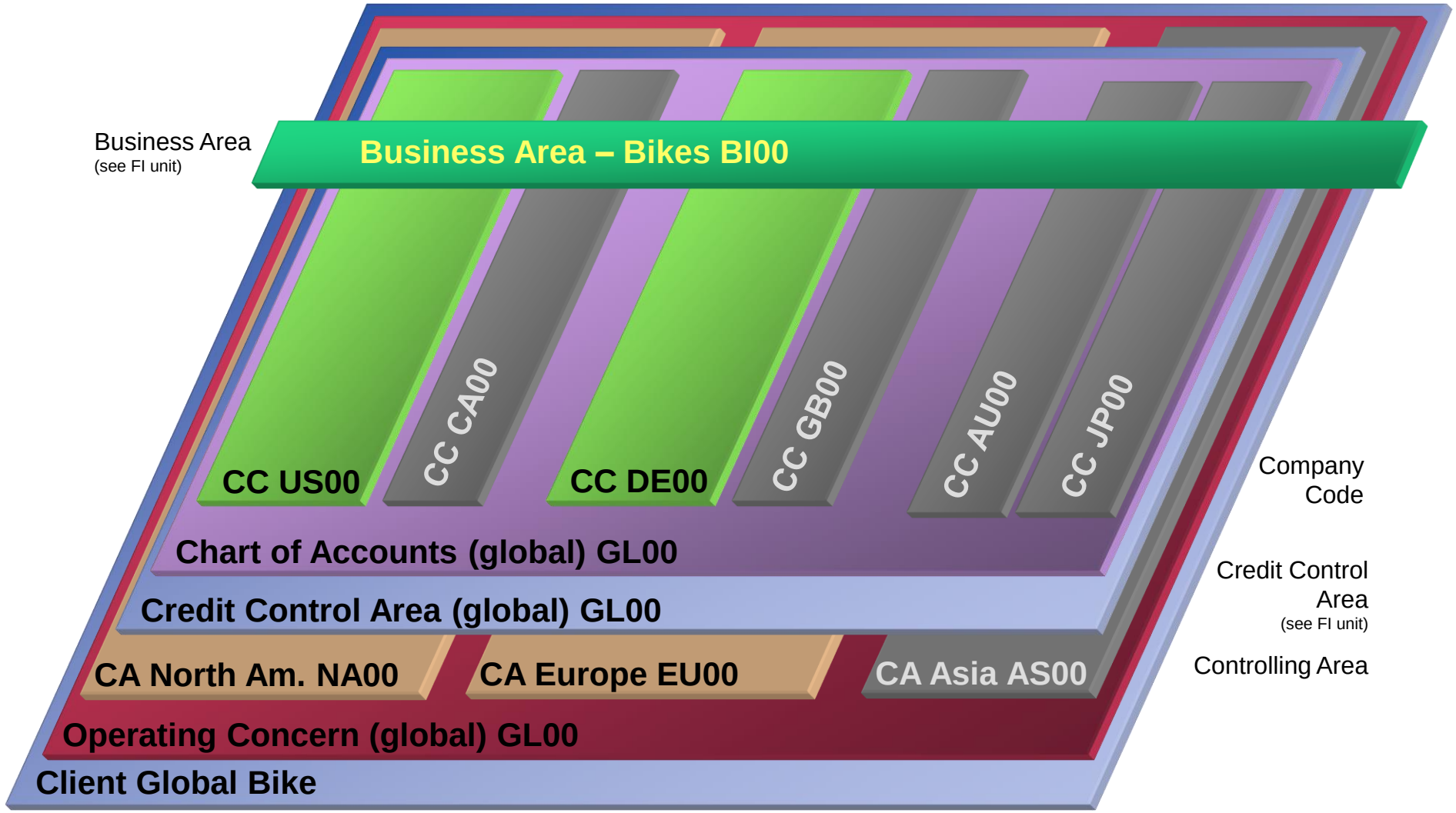
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Global Bike Structure for Controlling



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Global Bike Enterprise Structure in SAP ERP (Accounting)



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Agenda

- CO Organizational Structure
- CO Master Data
- CO Processes

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CO Master Data

- Profit Center
  - Responsible for revenue generation and cost containment
  - Evaluated on profit or return on investment
  - Enterprises are commonly divided into profit centers based on
    - Region
    - Function
    - Product
- Cost Center
  - Responsible for cost containment, not responsible for revenue generation
    - One or more value-added activities are performed within each cost center.
    - Unit that is distinguished, for example, by area of responsibility, location, or type of activity
      - Copy center
      - Security department
      - Maintenance department

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CO Master Data

- Internal Order
  - Temporary cost collector responsible for cost containment, not responsible for revenue generation
  - It is used to plan, collect, and monitor the costs associated with a distinct short-term event, activity, or project
    - Company picnic
    - Trade show/Fair
    - Recruiting campaign
- Revenue Element
  - A one-to-one linkage (mapping) between General Ledger revenue accounts and CO revenue elements is established to permit the transfer of FI revenue information to CO.
  - Posting in FI that impact revenue accounts lead to a posting in CO to a revenue element.
  - In other words, revenue account = revenue element – just different words depending on whether FI object or CO object.

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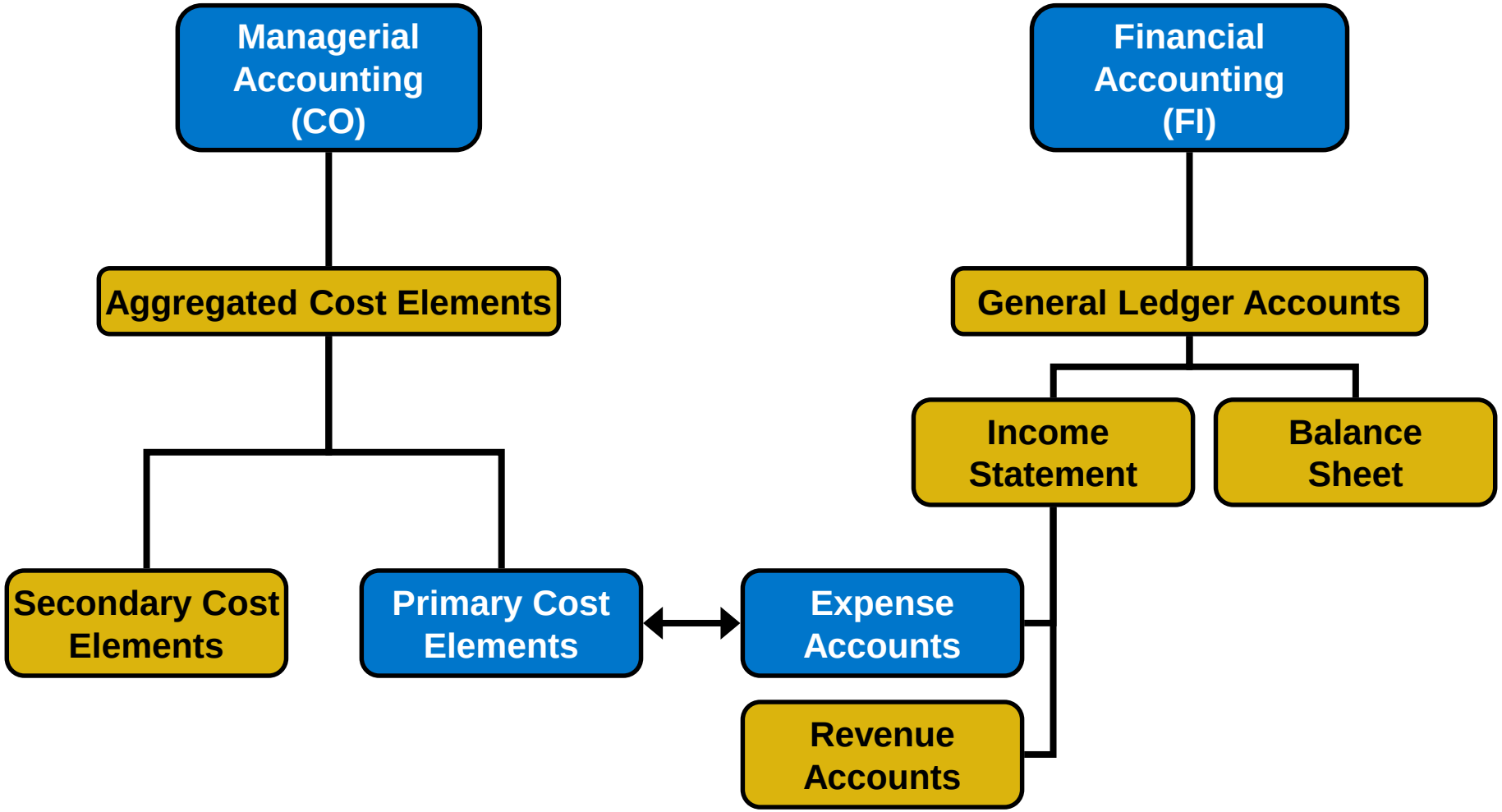
CO Master Data

- Cost Elements describe the origin of costs
  - One-to-one linkage (mapping) between General Ledger expense accounts and CO cost elements is established to permit the transfer of FI expense information to CO.
  - Postings in FI that impact cost accounts lead to a posting in CO to a cost element.
  - In other words, expense account = cost element – just different words depending on whether FI object or CO object.

- Cost elements are defined as either
  - Primary Cost Elements
    - Primary cost elements arise through the consumption of production factors that are sourced externally
    - Originate in the GL within FI and are automatically transferred to CO when an FI transaction is recorded in the GL
  - Secondary Cost Elements
    - Secondary cost elements arise through the consumption of production factors that are provided internally.
    - Used exclusively in CO to identify internal cost flows such as assessments or settlements between cost centers
    - They do not have corresponding General ledger accounts in FI and are defined in CO only.

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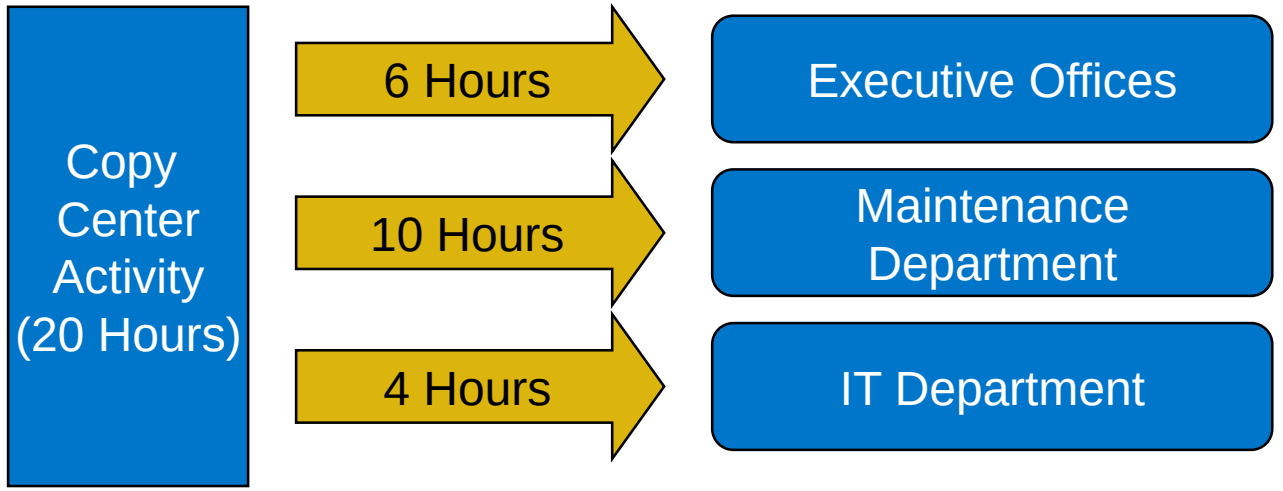
Primary vs. Secondary Cost Elements



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CO Master Data

- Statistical Key Figures
  - Provide the foundation for accurate and effective cost allocations between cost objects
  - Utilized to support internal cost allocations involving allocations, assessments, and distributions
  - Examples:
    - number of employees
    - square footage
    - minutes of computer usage



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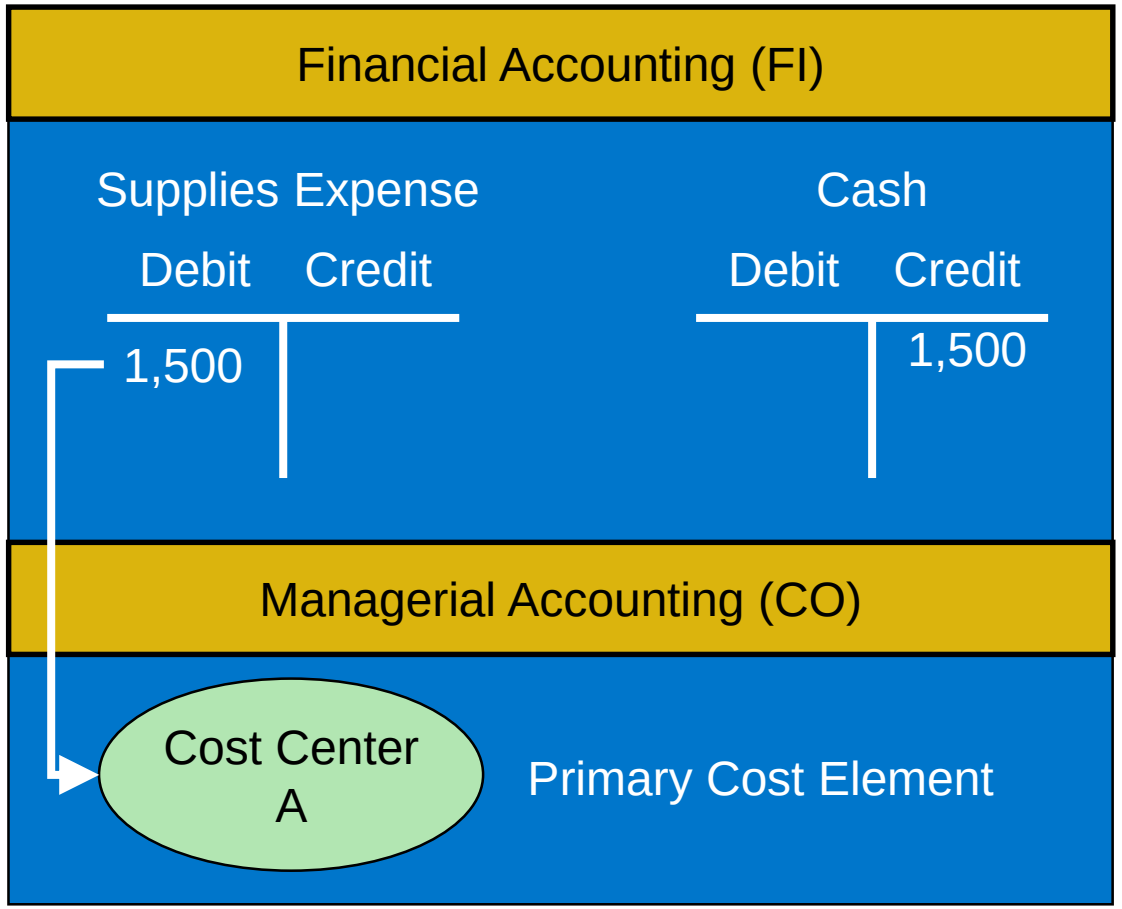
Agenda

- CO Organizational Structure
- CO Master Data
- CO Processes

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CO Processes

- Posting Primary Cost Element



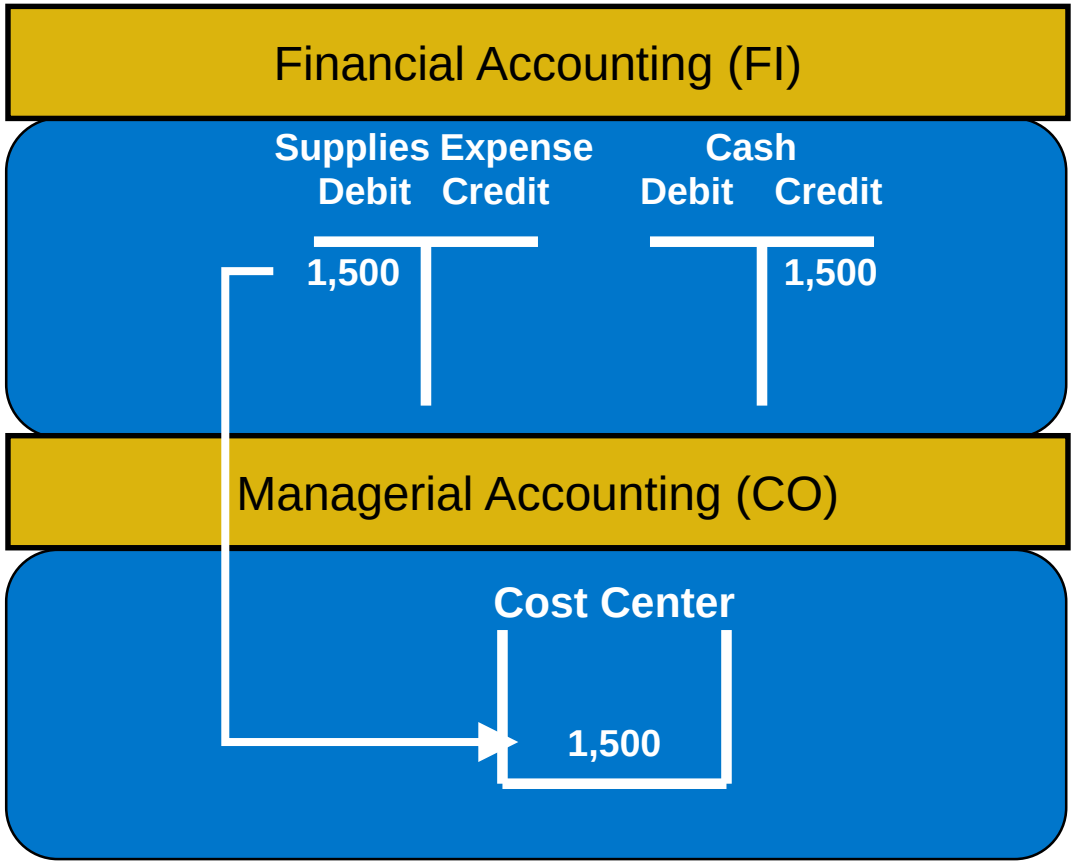
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CO Processes

- Posting Primary Cost Element

(FI) Transaction Document
Amount
G/L Account #
Cost Center
1900012432

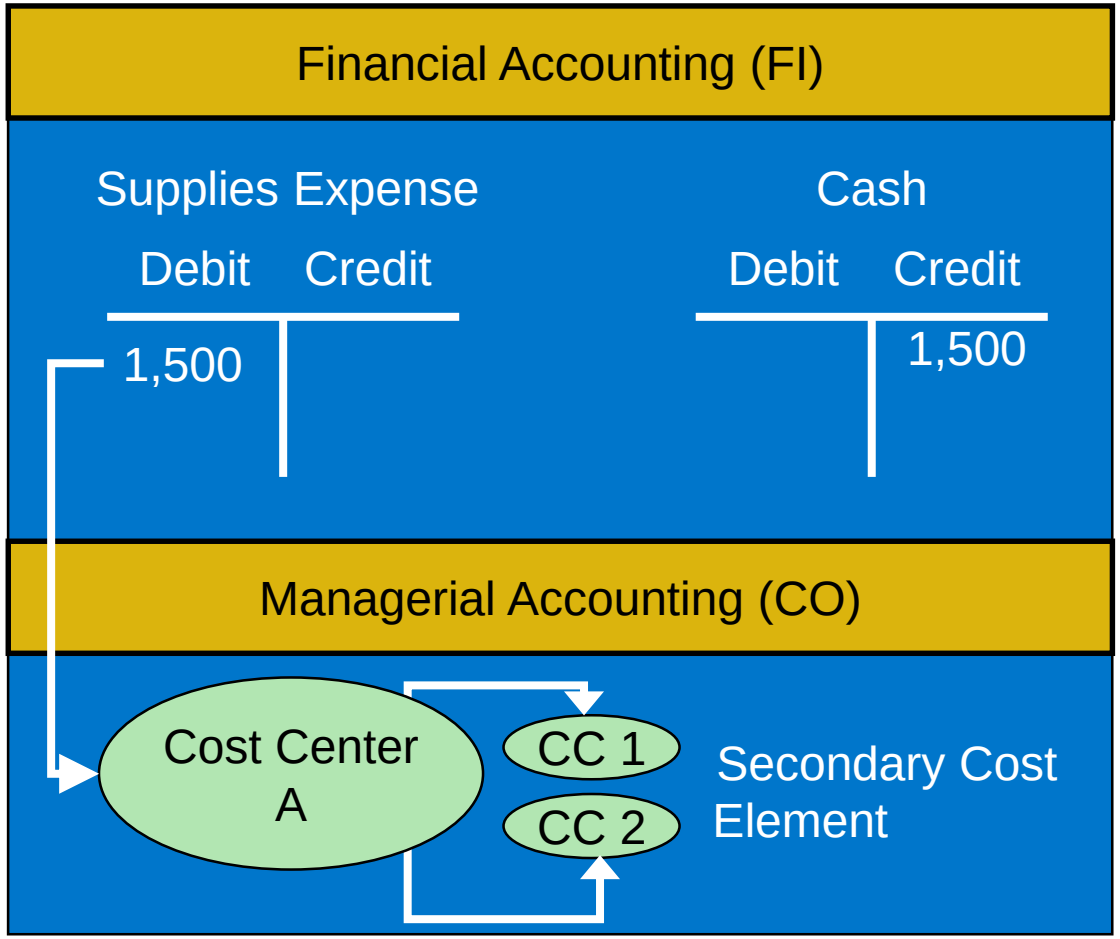
(CO) Transaction Document
Cost Center
Cost Element
20000657



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CO Processes

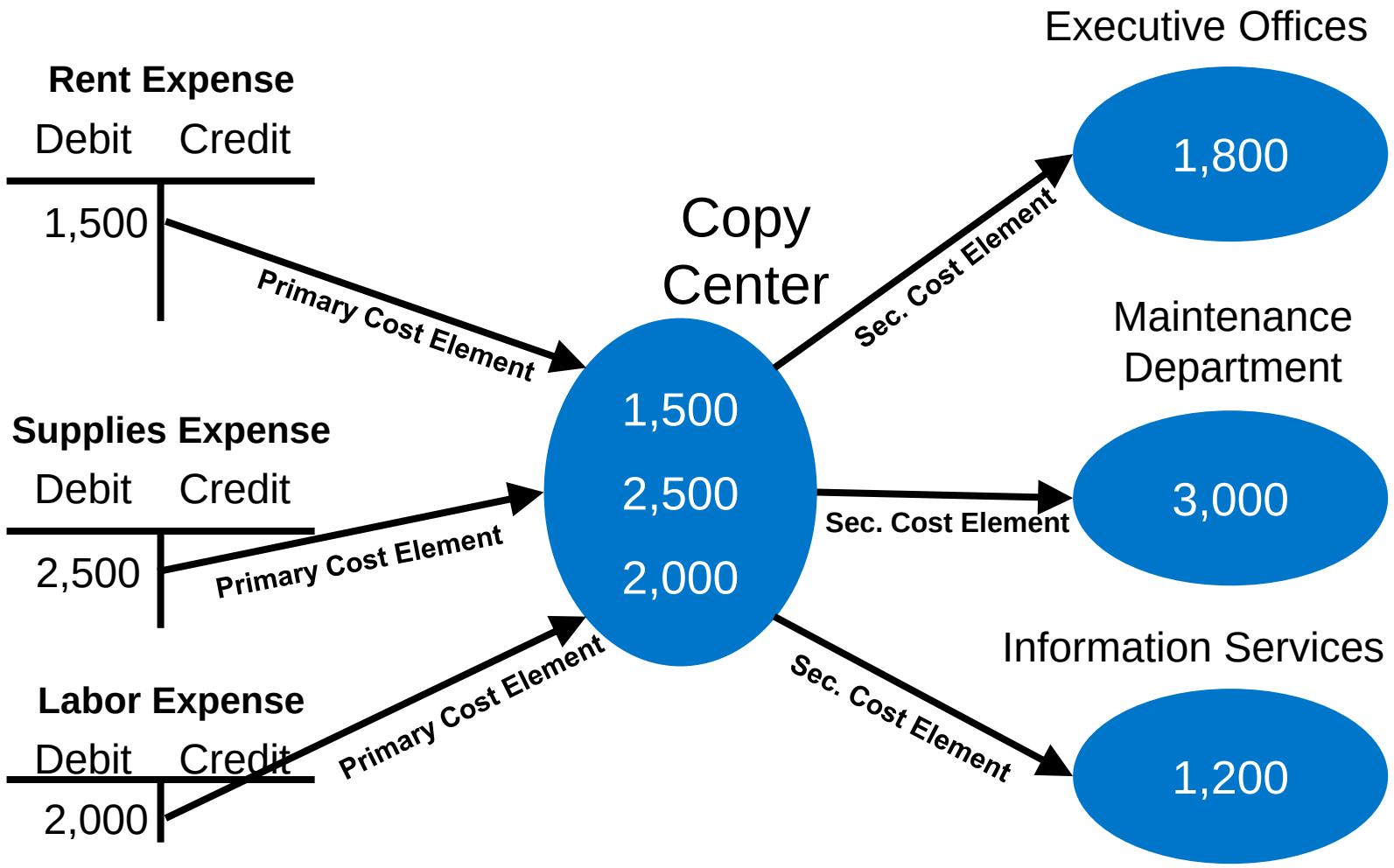
- Posting Secondary Cost Element



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CO Processes

- Posting Secondary Cost Element



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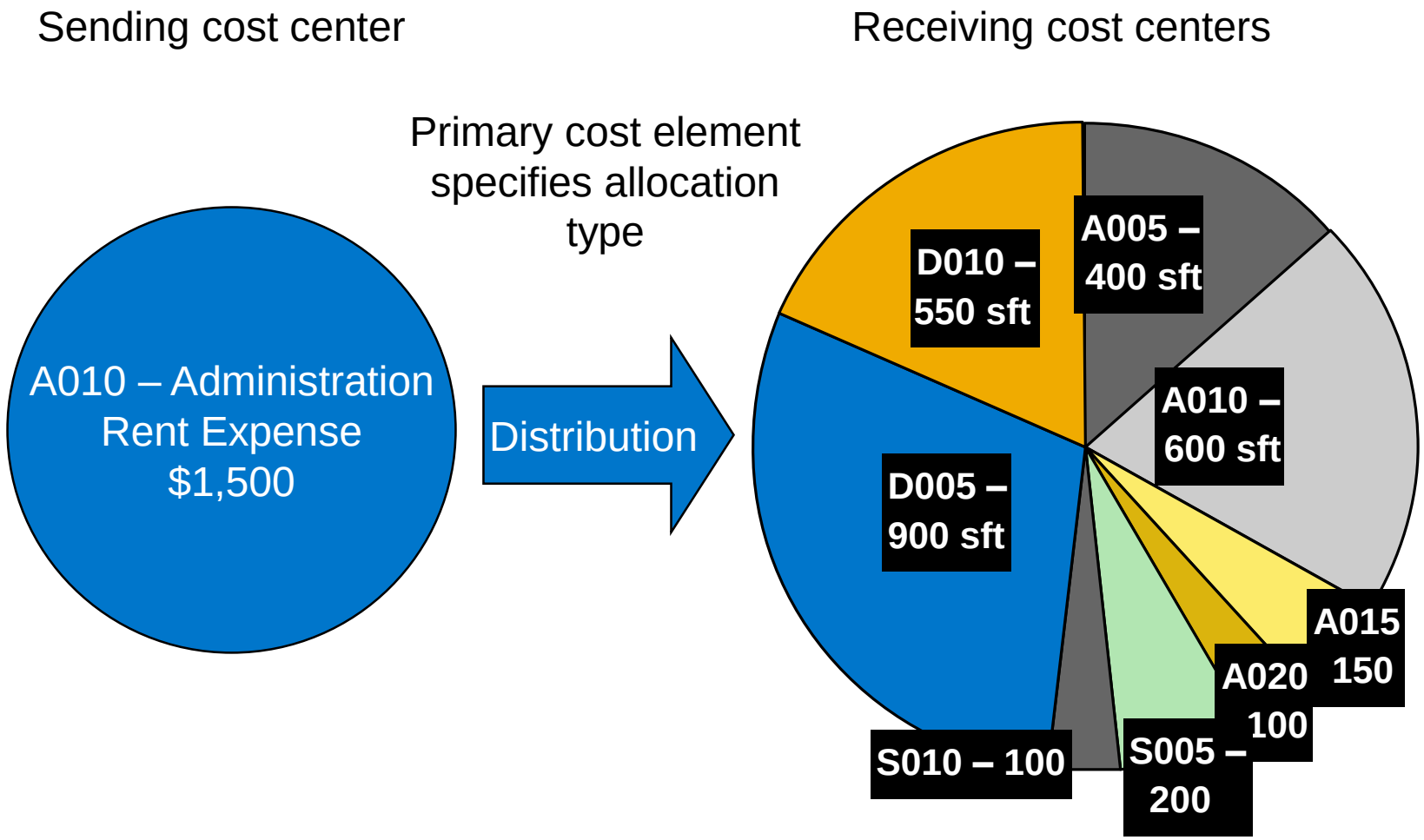
Types of Allocation

- Distribution
  - Method for periodically allocating primary cost elements
  - Primary cost elements maintain their identities in both the sending and receiving objects
  - Sender and receiver cost centers are fully documented in a unique Controlling (CO) document.

- Assessment
  - A method of allocating both primary and secondary cost elements
  - Primary and/or secondary cost elements are grouped together and transferred to receiver cost centers through use of a secondary cost element.
  - Sender and receiver cost centers are fully documented in a unique Controlling (CO) document.

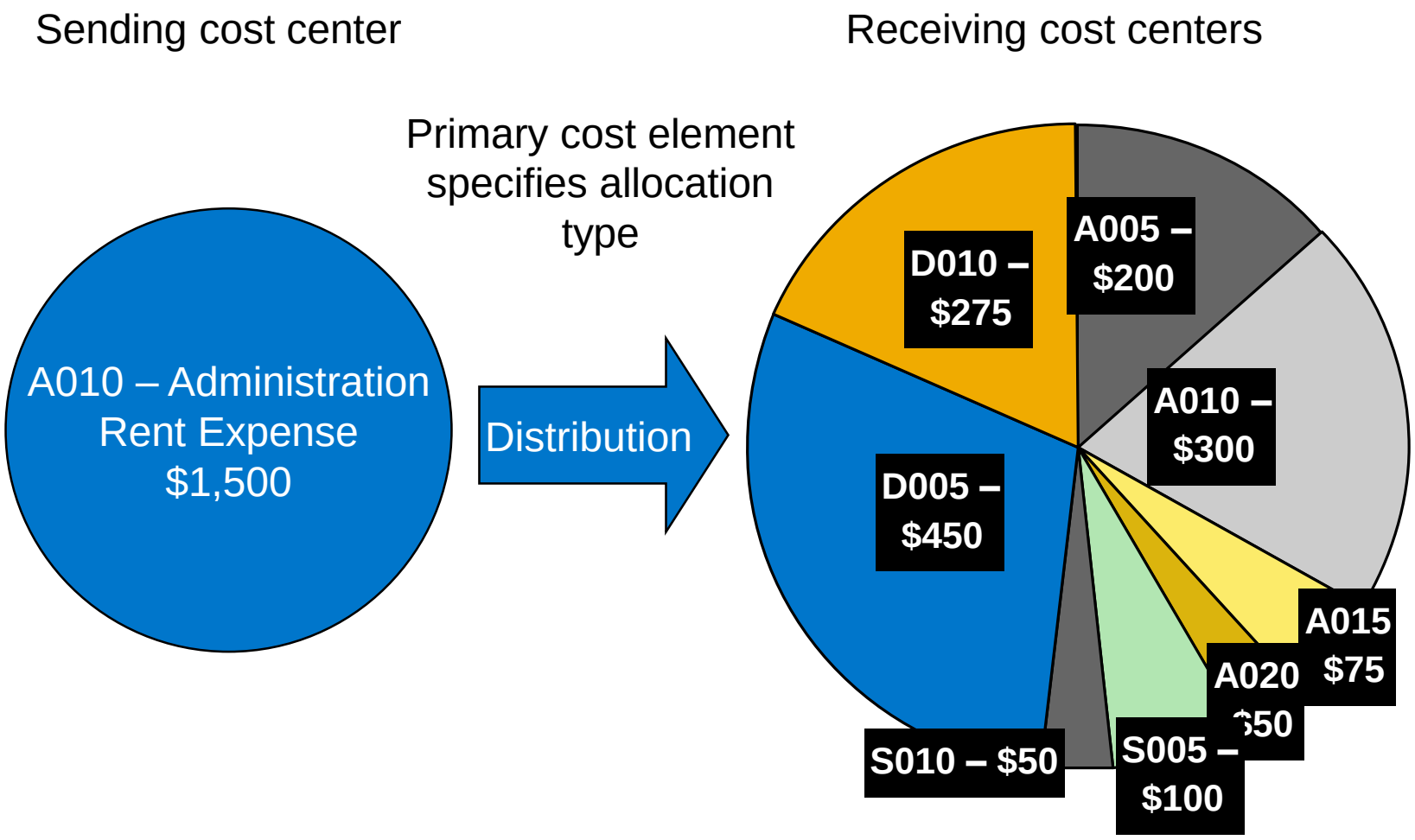
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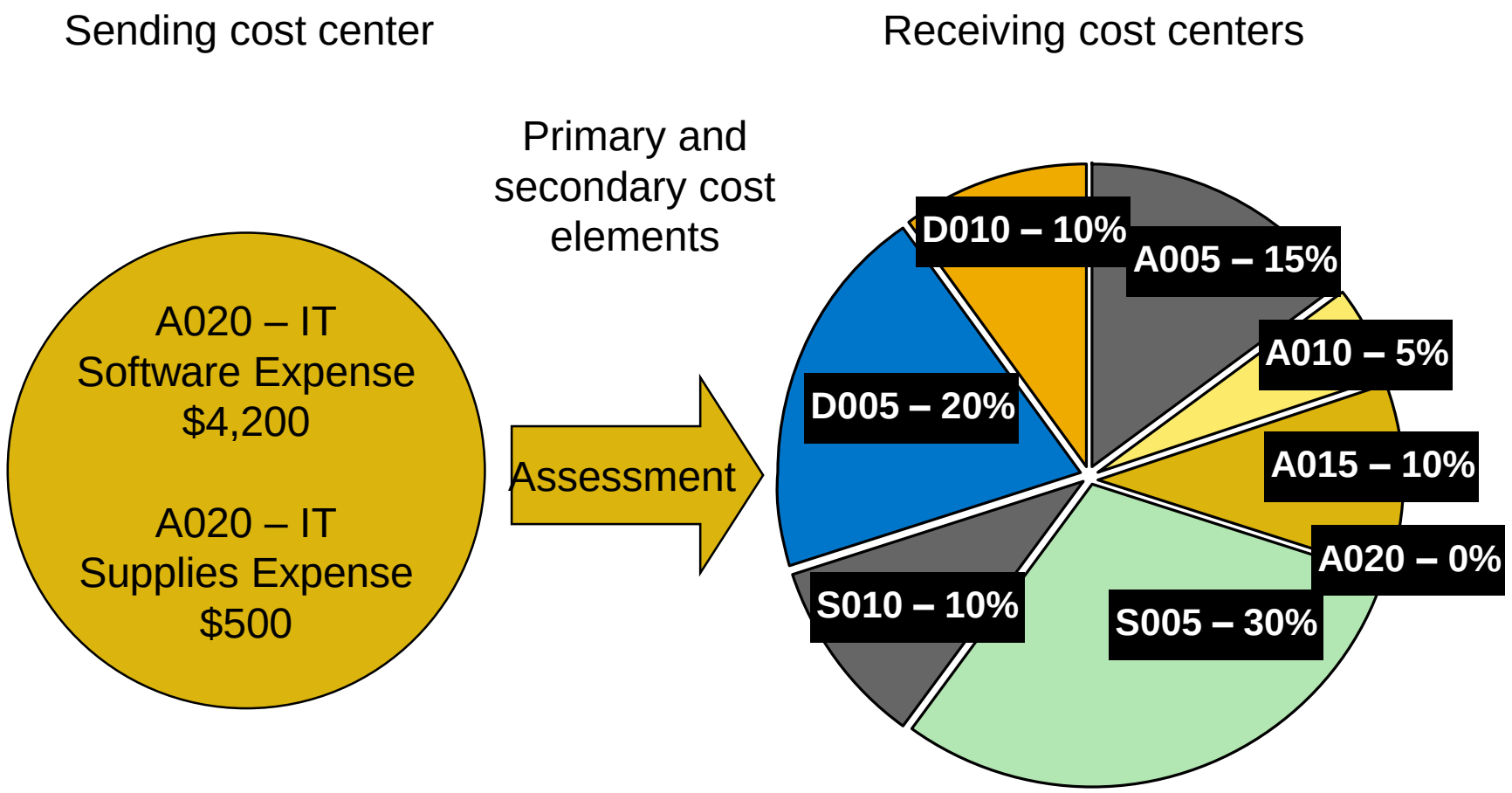
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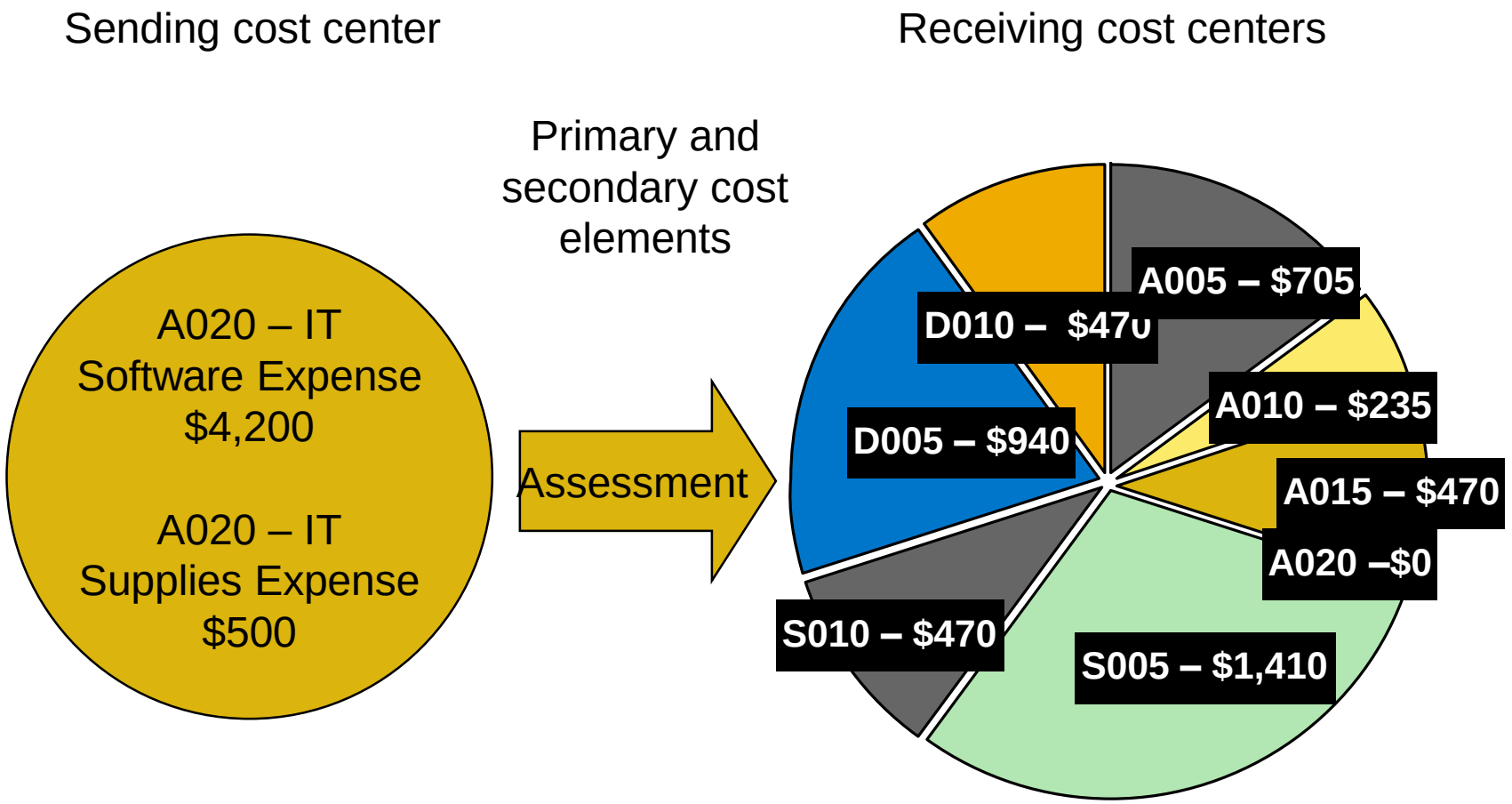
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Assessment



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Assessment



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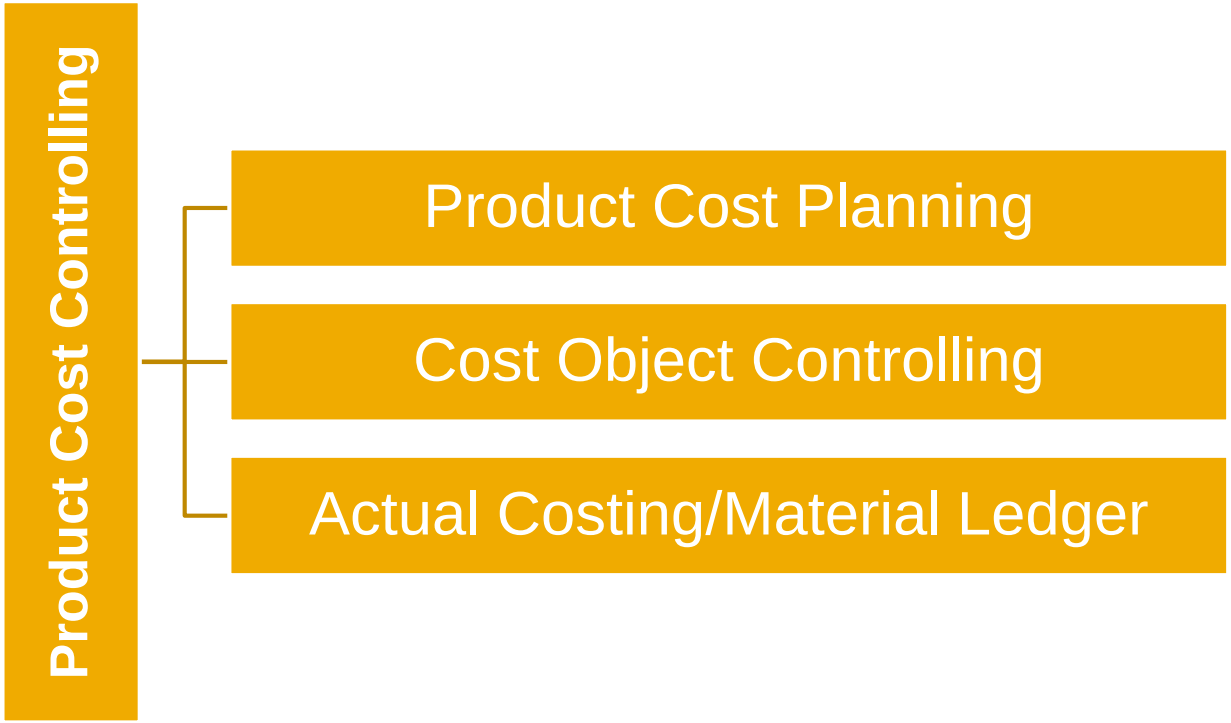
SAP CO Module

- Fully integrated with other SAP modules including, but not limited to:
  - Financial Accounting (FI)
  - Materials Management (MM)
  - Sales and Distribution (SD)
  - Production Planning and Execution (PP)

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Product Cost Controlling (CO-PC)

- is based on the organizational units of financial accounting, controlling and logistics
- is used to value purchased and produced goods and services



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Product Cost Controlling (CO-PC)

- Product Cost Planning
  - Product cost planning for price determination and evaluation with or without quantity structure
  - Analysis and breakdown of costs by different cost types
- Cost Unit Accounting
  - Value creation process and variance analysis between planned and actual costs
  - Determination of margins for individual customer orders and calculation of contribution margins
- Actual Costing
  - Determination of the actual costs incurred for the provision or manufacture of goods
- Product Cost Planning
  - Calculating the prices of materials in parallel currencies and valuation approaches

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Product Cost Controlling (CO-PC)

- Product Cost Planning
  - Provides basic data for controlling decisions
  - Basis for determining standard prices
  - Manual costing (unit costing) or automatic costing (with quantity structure)
  - Determination via costing variant

- Types of Product Costing
  - Reference Costing – Planning and simulation of costs for new products
  - Planned Costing – Valuation of planned quantities using planned prices
  - Target Costing – Valuation of actual quantities using planned prices
  - Actual Costing – Valuation of actual quantities using actual prices
  - Inventory Costing – Valuation of actual quantities using tax and legal prices

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Product Cost Controlling (CO-PC)

- The costing variant defines the rules according to which the production costs per product are calculated.

- The costing variant defines the rules according to which the production costs per product are calculated.
  - Always: Lot size from the material master for each component
  - Only with individual requirements Lot size is passed on only if needed
  - No: The entire structure uses the lot size of the top-level material

- The quantity structure costing is created based on bills of materials and routings.

Bill of Materials

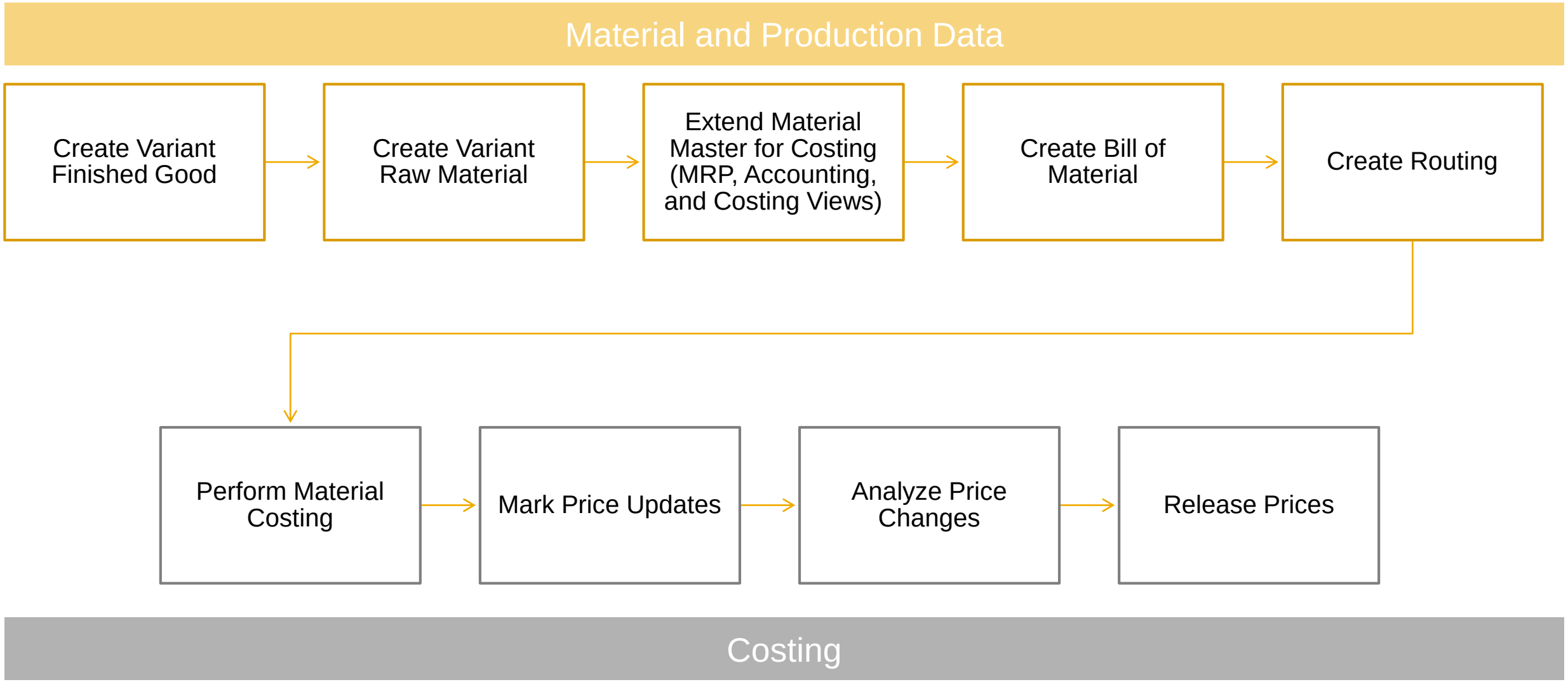
Contains the individual parts or components required to manufacture a product

Routing

Specifies the individual production steps for manufacturing

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Product Cost Controlling (CO-PC) – Calculation Process



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